

The red flags were there for anyone who could put their greed aside and focus on the math. When this Ponzi scheme began in the 2010s, the risk-free yield—also known as the 10-year US Treasury bond—was between 2% and 3%.

The red flag screaming to potential investors: “How could anything yielding 20 times what US Government Treasuries were yielding be remotely risk-free?” Even sub-prime mortgage-backed securities (MBS) in the 2000s pre-GFC were *only* promising to deliver a few hundred basis points above the 10-year without taking on additional risk. That difference—between Treasuries’ 4% and subprime’s 6%—is almost quaint compared to this example’s “*near risk-free returns*” of 50% versus the 10-year’s average of 2.5%.

When your Spidey-sense begins to tingle, pay attention and ask questions:

- In a 2.5% environment, why can’t YOU borrow at less than a 50% rate?
- Why would anyone be willing to give up half of their winnings rather than wait only a few months?
- What other borrowing facilities have you investigated?
- Which institutions, banks, VCs have you presented this to? Have any institutional firms considered this deal? (And what did they decide?)
- What other *safe* opportunities are you aware of that are currently yielding 50%, 25%, 10%?

It doesn’t take much analysis to recognize that this is a terrible deal for the people who are paying 50%. It’s so bad for them, and so good for the investors, that it makes no sense. It’s a giant red flag from top to bottom.

There are many different ways to say this, but here are a few of my favorites:

If it sounds too good to be true, it probably is.